

MBI Deep Dives

BY MBI DEEP DIVES IN AMZN — MAY 2, 2026

Amazon 1Q'26: Rosy Near-term but "Cloudy" Long-term

Amazon's highlight from 1Q'26 was that AWS has accelerated to 28%, which was the highest growth rate in the last 15 quarters. In fact, looking at the guide, it appears even a more pronounced acceleration is likely for 2Q'26. I will talk more about AWS, but as I typically do every quarter, I will first start with non-AWS segments of Amazon.

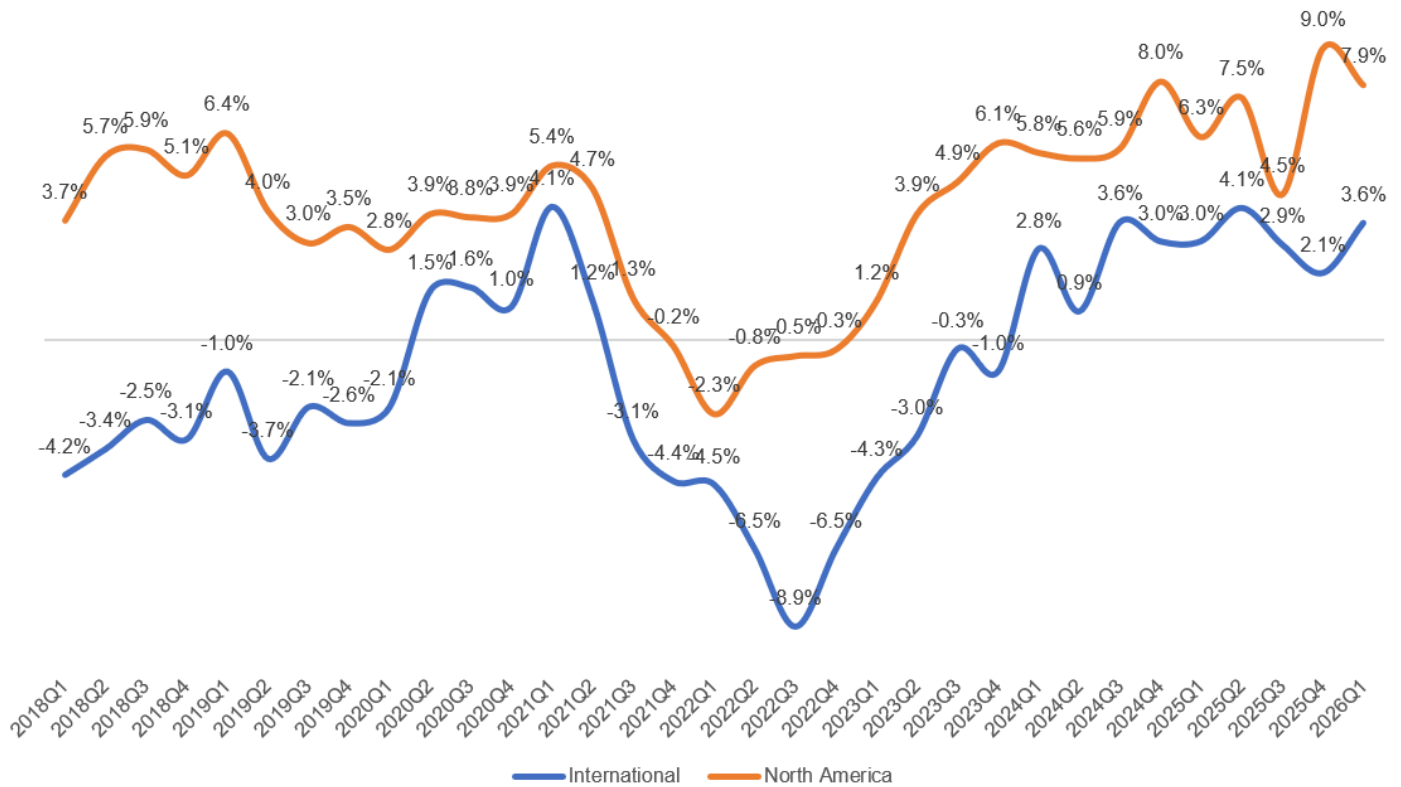
Segment	1Q'20	1Q'21	1Q'22	1Q'23	1Q'24	1Q'25	1Q'26	YoY	2-yr CAGR	3-yr CAGR	4-yr CAGR	5-yr CAGR
1P	41,292	56,821	55,720	55,991	59,872	62,940	70,039	11.3%	8.2%	7.7%	5.9%	4.3%
3P	14,479	23,709	25,335	29,820	34,596	36,512	41,578	13.9%	9.6%	11.7%	13.2%	11.9%
Subscription	5,556	7,580	8,410	9,657	10,722	11,715	13,427	14.6%	11.9%	11.6%	12.4%	12.1%
Ads+others	3,906	6,905	8,538	10,536	13,086	15,233	18,888	24.0%	20.1%	21.5%	22.0%	22.3%
AWS	10,219	13,503	18,441	21,354	25,037	29,267	37,587	28.4%	22.5%	20.7%	19.5%	22.7%
Total Revenue	75,452	108,518	116,444	127,358	143,313	155,667	181,519	16.6%	12.5%	12.5%	11.7%	10.8%

Source: Company Filings, MBI Deep Dives, Daloopa

Both North America and International segment experienced margin expansion YoY.



Amazon Operating Margin ex AWS

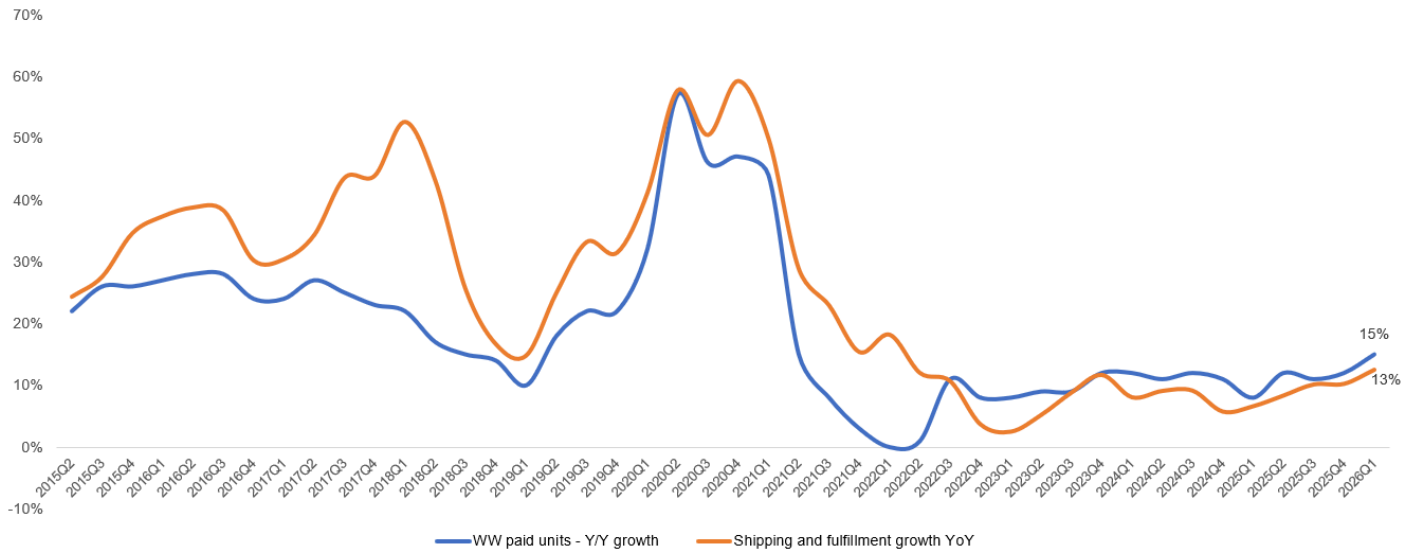


Source: Company Filings, MBI Deep Dives, Daloopa

If you look at worldwide paid unit growth vs shipping+ fulfillment cost growth, you would notice that the latter used to consistently outpace the former pretty much all the time since 2015 until 3Q'22. Since then, unit growth has largely been faster than shipping+ fulfillment costs, indicating operating leverage in their logistics footprint.

The health of the core retail business remains in a very good shape. Units accelerated to 15% YoY, which was the highest since the tail end of Covid. What I found even more remarkable is that Amazon mentioned "*in Q1, the average prices of products offered on Amazon.com **decreased** compared to the same period last year.*" When I think about what has happened since 1Q'25 especially tariff and oil price shock, it is a pretty incredible stat.

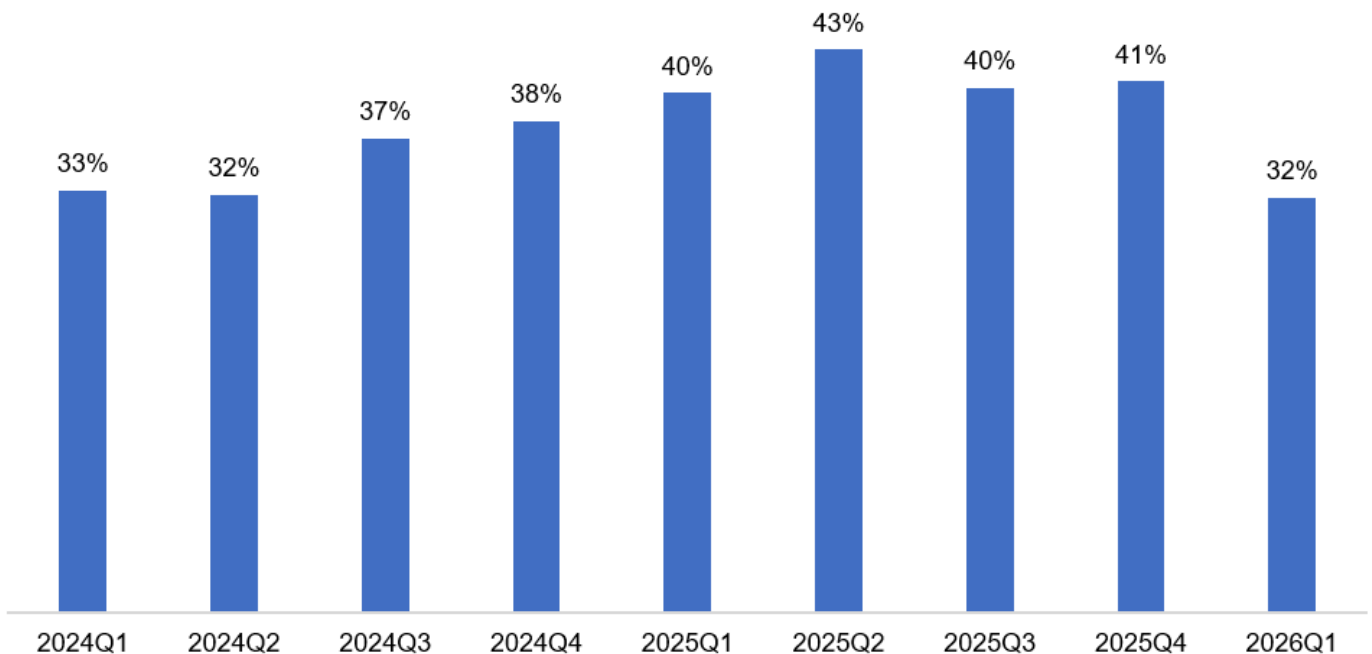
Amazon Retail trends on shipping+fulfillment costs growth vs WW paid unit growth YoY



Source: Company Filings, MBI Deep Dives, Daloopa

A big driver for retail profitability is advertising. Given Amazon ads are perhaps more of a competitor to Google than Meta, I pay close attention to Amazon's incremental share in advertising compared to Google Advertising. It is interesting to observe a noticeable drop in Amazon ads incremental share compared to Google advertising which itself is **losing** share to Meta's Family of Apps (FOA) ads.

Amazon Ads incremental revenue as % of Google Advertising incremental revenue



For the last four consecutive quarters, Amazon ads grew at 22% rate (FXN). In contrast, Google advertising accelerated in each of the last four quarters from 10.4% in 2Q'25 to 12.6% in 3Q'25 to 13.6% in 4Q'25 to 15.5% in 1Q'26.

Segment	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26
Growth YoY													
Search	1.9%	4.8%	11.3%	12.7%	14.4%	13.8%	12.2%	12.5%	9.8%	11.7%	14.5%	16.7%	19.1%
YouTube Ads	-2.6%	4.4%	12.5%	15.5%	20.9%	13.0%	12.2%	13.8%	10.3%	13.1%	15.0%	8.7%	10.7%
Google Network	-8.3%	-5.0%	-2.6%	-2.1%	-1.1%	-5.2%	-1.6%	-4.1%	-2.1%	-1.2%	-2.6%	-1.6%	-3.9%
Google Advertising	-0.2%	3.3%	9.5%	11.0%	13.0%	11.1%	10.4%	10.6%	8.5%	10.4%	12.6%	13.6%	15.5%

Source: Company Filings, MBI Deep Dives, Daloopa

While I consistently made the case that AI is a massive tailwind for scaled digital advertising players, I suspect Amazon ads may be structurally positioned worse compared to Google and Meta. I will have much more sympathy to this thesis if I continue to see incremental share for Amazon ads (vs Google advertising) declining in coming quarters since I don't want to extrapolate too much based on just one quarter. Why do I suspect this might be the case?

Amazon Ads is overwhelmingly bottom-funnel i.e. sponsored products served at the moment of purchase intent, where AI adds little ("buy AirPods Pro" doesn't need a reasoning model). Google Search, on the other hand, has always lived slightly further upstream (vs Amazon), where AI Mode and AI Overviews can genuinely improve the considered, comparative shopping query. AI also expands Google's ad inventory in ways Amazon's may not quite grow. Think shopping carousels inside AI responses, conversational query types that didn't previously exist whereas Amazon's inventory is structurally capped by SERP and product-page real estate that's already heavily loaded. Amazon mentioned Rufus which had MAU growth of 115% and engagement growth of 400%, but I wonder how Rufus is being used by customers. Personally speaking, I mostly ask Rufus to summarize reviews of a particular product on Amazon, but for more extensive product comparisons and considerations, I personally (and likely most customers) find general chat bots (Gemini/ChatGPT) more useful.

Of course, Amazon's first-party purchase data remains the highest-quality targeting signal in digital advertising, so I certainly don't think Amazon ads business will be

impaired, but Google's funnel position and inventory expansion can produce more incremental lift per dollar of AI investment, at least in this cycle. I'll keep a close track and update my opinion accordingly.

A more nefarious bear case for Amazon ads is whether they become increasingly **abstracted away** by the OS layer. I share some of my readers **skepticism** of such bear cases, but given Google owns the OS layer, you can see why they may have more control than Amazon to navigate the evolving digital advertising landscape in the coming years.

One interesting tidbit from the call was that Amazon mentioned Prime Video is now a “profitable business in its own right”. For context, Amazon spent 22.4 Billion in video and music content spending in 2025, supermajority of which I think is related to video. Amazon reported \$51.3 Billion LTM subscription revenue, majority of which is related to Prime subscription. If we assume \$18-20 Billion content was spent on Video, Amazon is perhaps allocating ~40-50% of Prime subscription value to Video which, in addition to recent doubling of ad load on Prime Video, may have propelled Prime Video to be profitable.

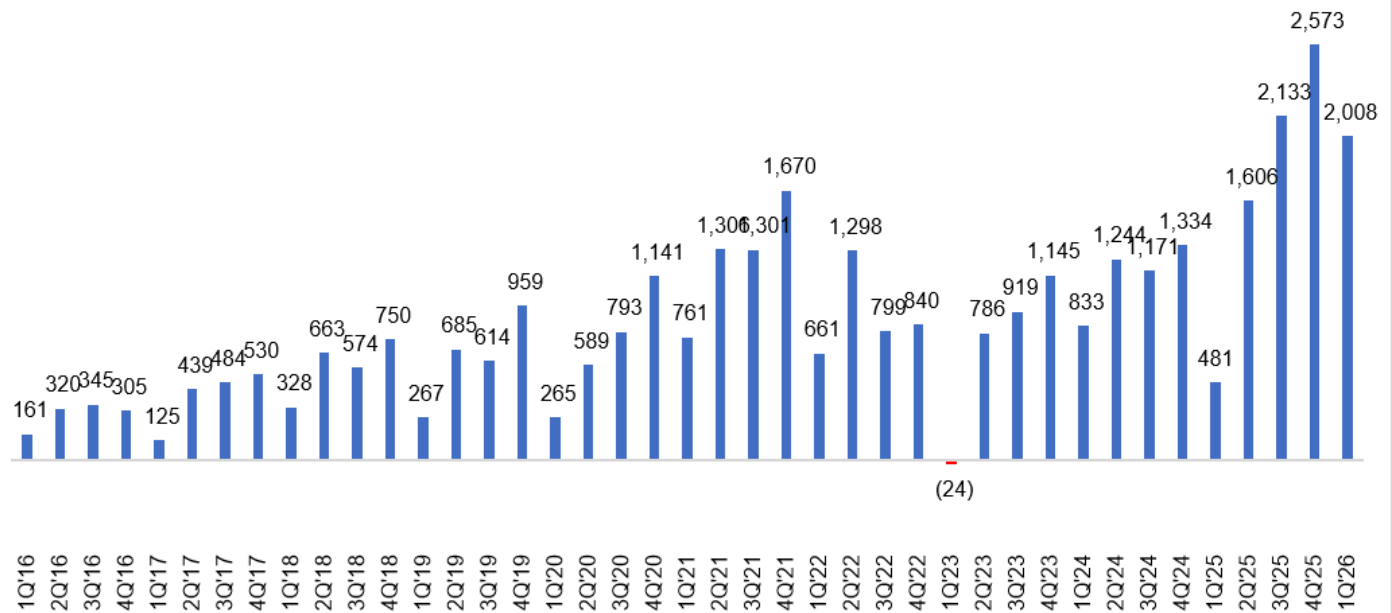
Okay, enough about non-AWS business. Let's get into AWS related discussion which will be behind the paywall.

*Subscribers get the daily journal and five+ years of Deep Dives, i.e. full-length analyses with financial models on **65+** companies. The daily is just how I think out loud between the Deep Dives!*

Subscribe

AWS added \$2 Billion incremental revenue QoQ. Remember, Q1 is typically the weakest quarter for AWS for incremental quarterly revenue, so I expect incremental quarterly revenue to be noticeably higher in the coming quarters.

AWS QoQ Revenue Growth (Mn)



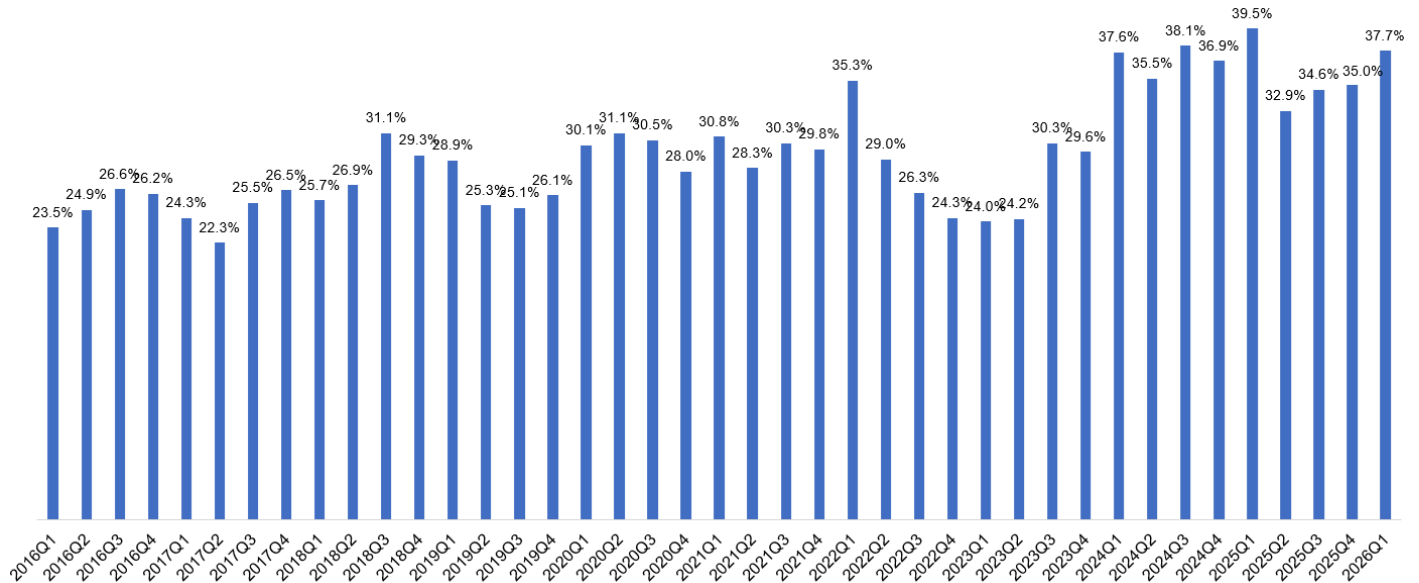
Source: Company Filings, MBI Deep Dives, Daloopa

AWS margins went down a bit YoY but remains comfortably above mid-30s. Incremental operating margins also have improved a bit in 1Q'26 (vs 4Q'25).

AWS	1Q'22	2Q'22	3Q'22	4Q'22	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26
Incremental revenue YoY	4,938	4,930	4,428	3,598	2,913	2,401	2,521	2,826	3,683	4,141	4,393	4,582	4,230	4,592	5,554	6,793	8,320
Incremental opex YoY	2,583	3,408	3,908	3,686	4,308	2,751	948	864	(615)	172	922	1,117	2,104	3,766	4,567	4,960	5,706
Incremental Operating margin	48%	31%	12%	-2%	-48%	-15%	62%	69%	117%	96%	79%	76%	50%	18%	18%	27%	31%

Source: Company Filings, MBI Deep Dives, Daloopa

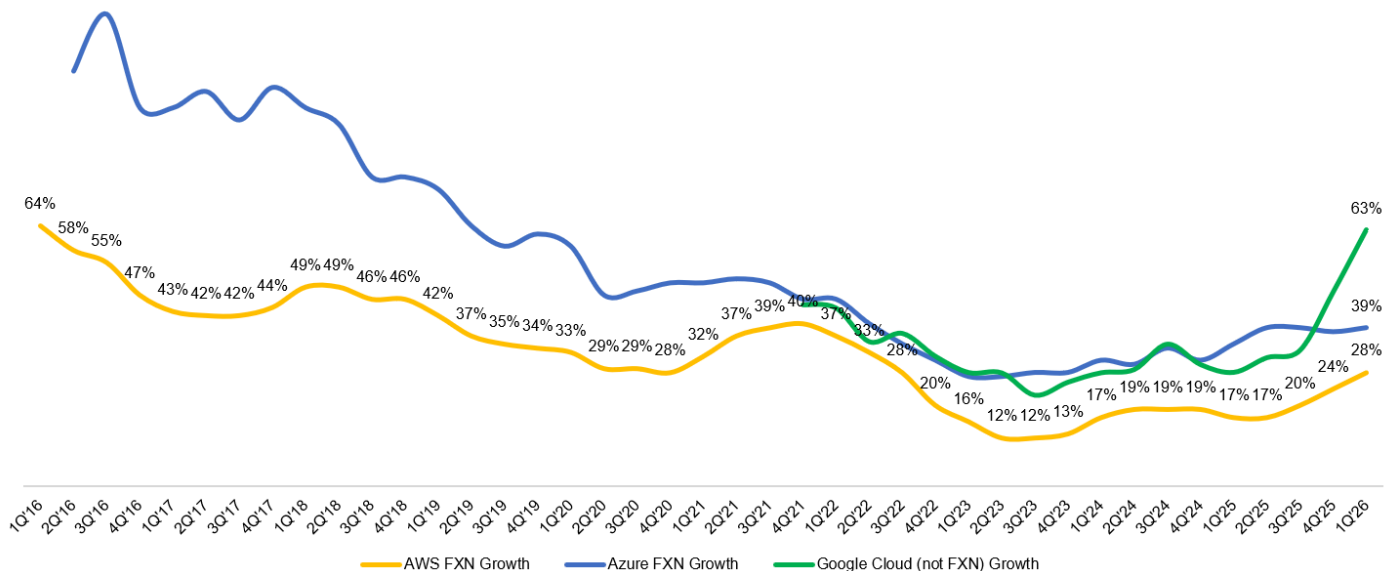
AWS Operating Margin



Source: Company Filings, MBI Deep Dives, Daloopa

AWS numbers look very impressive...until you look at its competitors' numbers. Google Cloud has taken the lead in growth comfortably ahead of the other two major hyperscalers. As I **mentioned** yesterday, this isn't just a lower revenue base story anymore and I expect such elevated growth trend to persist for Google Cloud in the coming quarters.

Hyperscalers Revenue Growth YoY %



The reason for such optimism about Google Cloud is their backlog. Just a year ago, Google Cloud's backlog was half of AWS. In 4Q'25, they reached parity with AWS and then in 1Q'26, Google Cloud's backlog now is almost \$100 Billion higher! In fact, considering Google Cloud will recognize half of their backlog as revenue in the next eight quarters whereas AWS weighted average remaining life (WARL) of their backlog increased from 4.1 years in 4Q'25 to 5.5 years in 1Q'26 makes me think Google Cloud will add higher absolute dollars of revenue (not just percentage) at least in the next couple of years.

Now, there's a lots of caveats here. AWS backlog excludes their recent deal with Anthropic which will add \$100 Billion additional backlog when they disclose it in 2Q'26. However, since that commitment has **10-year** duration, I think WARL will increase even further after including Anthropic's recent compute commitment with AWS. So even though you can make the case that AWS and Google Cloud basically have the same backlog today, I think Google Cloud's ability to convert this backlog into near-term revenue will be noticeably faster than AWS.

There are also some additional (but minor) differences in definition of backlog. AWS reports only contracts with original terms exceeding one year. Google's pre-Q1 2026 disclosure also excluded less than 1-year contracts but they included such contracts in 1Q'26 reporting which added \$7.3 Billion to their backlog. As you can see, even with these caveats, the broader takeaway doesn't change much: Google Cloud is highly likely to outgrow both Azure and AWS in the next couple of years.

Quarter end	AWS backlog (\$Bn)	AWS WARL (yrs)	AWS QoQ %	Google Cloud backlog (\$Bn)	As % of AWS backlog	GCP QoQ %
Mar 31, 2025	\$189	4.1		\$92	49%	
Jun 30, 2025	\$195	4.0	3%	\$108	55%	17.1%
Sep 30, 2025	\$200	3.8	3%	\$158	79%	45.7%
Dec 31, 2025	\$244	4.1	22%	\$243	100%	54.0%
Mar 31, 2026	\$364	5.5	49%	\$462	127%	90.4%

I do, however, want to tempter Google shareholders' expectations a bit. Their most recent deal with Anthropic is one of the strangest deals in the circular financing saga. In fact, the level of circularity has become so incestuous that it is a good AI use case to help you keep track of their relationship. So, I asked Claude to show me Anthropic's compute commitments to Google Cloud, Azure, and AWS that were disclosed over the last six months:

Anthropic's commitments to cloud and compute counterparties

Counterparty	Commitment	Term	Announced	Notes
Amazon (AWS)	\$100B+	10 years (2026–2036)	April 20, 2026	Up to 5 GW of new computing capacity to train and run Claude. TechCrunch Anchored on Trainium chips and Project Rainier.
Microsoft (Azure)	\$30B	Unspecified, likely multi-year from late 2025	November 18, 2025	Anthropic's first Azure commitment. Bundled with Nvidia chip optimization (Grace Blackwell, Vera Rubin) on Azure infrastructure. GeekWire
Google Cloud (existing TPU expansion)	"Tens of billions"	Multi-year, capacity online in 2026	October 23, 2025	Up to 1 million TPUs and well over 1 GW of capacity coming online in 2026. Anthropic Anthropic's largest TPU commitment to date prior to the next deal.
Google + Broadcom (next-gen TPU)	Part of Anthropic's \$50B U.S. infrastructure pledge	From 2027	Late 2025/early 2026	Multiple gigawatts of next-generation TPU capacity coming online starting in 2027, sited largely in the U.S. Anthropic
Google Cloud (April 2026 expansion)	Tied to up to \$40B Google investment	5 years from April 2026	April 24, 2026	Additional 5 GW of Google Cloud computing capacity over five years. AI Insider

Literally eight days ago, Bloomberg reported Google is investing \$10 Billion in Anthropic at \$350 Billion valuation. Then three days ago, I am seeing media reports that Anthropic is raising \$50 Billion at potentially \$850-900 Billion valuation. If that's the case, does the Google deal seem normal to anyone? Why would Anthropic sell their equity at almost one-third of the "market price"?

My best guess is Anthropic is in a very awkward position as the demand for their products may be much higher than their compute capacity. As a result, they looked around to find out whoever that is in a position to offer them some capacity to deal with the demand they are seeing. Maybe Google was that company who could offer a decent amount of capacity (maybe AWS didn't want to increase customer concentration even more or they may not have capacity to meet this unforeseen demand; maybe Azure is busy dealing with OpenAI's demand and juggling it with their own first party workloads). In return, Google may have asked for an arm and a leg from Anthropic which required Anthropic to not only commit and prioritize Google Cloud in the near term but also allow Google to invest at a prior round valuation even though Anthropic knew there was plenty of capital available that would offer much higher valuation for Anthropic. I actually find it quite ironic that Meta, the hyperscaler that has the highest quality revenue streams today since they don't engage in the circular financing shenanigans with AI labs, trades at the lowest multiple despite growing revenue faster than their hyperscaler peers.

While that seems like a fantastic deal for Google shareholders today, I suspect the tables may turn in not-so-distant future once the AI labs become the adult in the room. The real economics in the compute value chain will be laid bare if and only if AI labs don't need to raise any more capital. At the pace they're going, it may not be outlandish to assume Anthropic may end the year at \$100 Billion revenue run rate and then double the revenue next year. If Anthropic has \$200 Billion revenue run rate by the end of 2027, I cannot imagine they will need external funding after reaching such scale. You may see a very different posture from the labs when they reach that stage. Of course, if compute constraints remain true even then, hyperscalers don't have to worry much as everyone will still scramble for compute. But capitalism usually finds a way to solve demand-supply gap; so if we enter a world where compute demand-supply curve is more normalized and AI labs enter their adulthood, the questions I like to ponder are: which chips will they buy? which hyperscale will they choose? Will they design their

own chips like every other big tech has done (or trying to do)? Will they build their own data centers over time? For large scaled and high usage internet companies that have \$100 Billion+ revenue, owned and operated data centers with a hybrid model makes lot more sense. I appreciated this even more while studying Roblox recently.

When I talk to hyperscaler shareholders, many seem to think these questions are relevant in 5+ years (closer to 10, rather than 5). I actually feel the questions may prove to be more immediate than that. If you believe AI labs will continue to grow at a rapid pace, they will start acting more independently about their own future as soon as 2028. So, even though we can't immediately know what happens to the hyperscaler economics in a more arms length transaction with AI labs, we may not be far away from such situation.

Hyperscaler revenues are becoming quite substantial and for them to compound such revenue base for the next 5-10 years, it may become quite uncomfortable if their two large customers gradually decide to build their own chips and their own data centers while simultaneously encroaching into high margin PaaS and SaaS revenue streams of hyperscalers.

To be clear, I don't expect hyperscaler economics to implode (although depends on if we ever see the unlikely compute glut scenario in 5-10 years), rather it's their ability to compound that I worry much more about. They do have compelling existing advantages. I will particularly highlight the below comment from Andy Jassy in light of memory shortages:

"on memory and storage and the supply chain, I think everybody knows that the cost of these components, particularly memory has skyrocketed. And we're just in a stage where there's just not enough capacity for the amount of demand. We have worked very closely with our strategic partners. We saw this trend happening early in the kind of the middle of the latter part of last year, and we've worked with our strategic suppliers here to get a significant amount of supply. And so we're working very closely with them. I think the team has been very scrappy. I think we've done a good job in making sure that we're not capacity constrained there, but we're watching that very closely. **One of the interesting things that we see right now with the change in price and in supply on things like memory is that it is a further impetus pushing companies who have on-premises infrastructure into the cloud.**

And it's because a meaningful part, these suppliers are prioritizing their very largest customers which cloud providers are. And so we have seen a number of conversations we've been having with enterprises for many months where it's just been slower in getting the transformation plan to move to the cloud accelerate rapidly just because we have a lot more supply than what others have. So it'll be interesting to see how that evolves over time."

Not only AWS seems to have prepared much better than Meta on this front, Jassy made a compelling case why the current shortage across the compute value chain should create a noticeable tailwind for migrating to cloud. Moreover, as AI is graduating from only a GPU story to both CPU and GPU story, that is more of a familiar turf for AWS. Besides, given most existing customers have much of their data in AWS, that also should make AWS a natural playground for AI for such existing customers. As you can see, there are enough advantages here for AWS that can make my concerns about AWS look exaggerated in a few years but hopefully I have made it clear why the range of outcome is wider for 3P hyperscalers.

In the next few quarters, you may not need to answer these potentially uncomfortable questions though. Amazon doesn't guide AWS numbers, but just based on some rough estimates, I have shown below that it is likely that AWS may post mid-30s revenue growth in 2Q'26. So, Amazon shareholders perhaps can afford to delay to ponder such long-term questions for another time.

Segment	2023Q3	2023Q4	2024Q1	2024Q2	2024Q3	2024Q4	2025Q1	2025Q2	2025Q3	2025Q4	2026Q1	2026Q2
North America	11.5%	13.0%	12.3%	9.1%	8.7%	9.5%	7.6%	11.1%	11.2%	9.9%	12.1%	12.0%
International	15.9%	16.8%	9.7%	6.6%	11.7%	7.9%	4.9%	16.1%	14.0%	16.8%	18.7%	16.0%
Amazon ex AWS	12.6%	14.0%	11.6%	8.4%	9.5%	9.1%	6.9%	12.4%	12.0%	11.8%	13.9%	13.1%
AWS	12.3%	13.2%	17.2%	18.7%	19.1%	18.9%	16.9%	17.5%	20.2%	23.6%	28.4%	35.3%

Source: Company Filings, MBI Deep Dives, Daloopa

Current Portfolio:

Please note that these are **NOT** my recommendation to buy/sell these securities, but just disclosure from my end so that you can assess potential biases that I may have

because of my own personal portfolio holdings. Always consider my write-up my personal investing journal and never forget my objectives, risk tolerance, and constraints may have no resemblance to yours.

My current portfolio is disclosed below:

Ticker	Avg. Cost	Current Weight*	Unrealized Gain (loss) %	First Bought	First Buy Price	Last Bought	Last Buy Price	Last Sold	Last Sell Price
ABNB	119.6	31.6%	18.5%	Apr'25	100.0	Feb'26	127.6	N/A	N/A
META	446.9	31.2%	36.2%	Aug'18	172.8	Mar'26	600.0	Sep'25	767.6
GOOGL	192.9	14.3%	99.9%	Apr'25	149.8	Mar'26	295.3	Apr'26	373.5
FND	51.1	9.4%	-1.1%	Mar'26	50.3	Apr'26	47.0	N/A	N/A
CNSWF	2,257	5.4%	-20.0%	Mar'22	1,733.8	Mar'26	1,800.0	Apr'25	3,350
VEEV	198.0	3.7%	-13.3%	Jan'26	220.0	Apr'26	150.8	N/A	N/A
RYAN	35.3	3.2%	-12.7%	Mar'26	35.3	Mar'26	35.3	N/A	N/A
AMZN	137.4	2.2%	95.2%	Feb'20	91.0	May'25	186.9	Apr'26	260.7
Cash		-1.1%							
Total		100.0%							

**Based on closing prices as of May 01, 2026 (time-weighted YTD: -3.6%); Since inception (August 24, 2018) time-weighted annualized return CAGR +15.2%*

Disclaimer: All posts on “MBI Deep Dives” are for informational purposes only. This is NOT a recommendation to buy or sell securities discussed. Please do your own work before investing your money.

← PREVIOUS ISSUE

Alphabet 1Q'26: Stratospheric Heights in Performance and Expectations

NEXT ISSUE →

Microsoft FY 3Q'26: Multi-Model Mirage, Copilot Momentum

MBI Deep Dives © 2026

[Sign up](#)

Powered by Ghost